❖ Horizon Asset Management, Inc. ❖

February 11th, 2009

Interim Market Commentary

The Allure of High Yield Bonds
Short Interest That You Don’t See Everyday
Correlation Within the Oil Industry

Horizon Asset Management, Inc.
www.hamincny.com
470 Park Avenue South • 4th Floor • New York, NY 10016
(646) 495-7333

The Allure of High Yield Bonds

To understand the allure of high yield bonds, it's necessary to think about them from the perspective of the real rate of return. In my parlance, the real rate of return has two meanings. The first is the nominal yield on the portfolio minus the inflation rate. The second is the nominal yield on the portfolio after taxes minus the inflation rate. One would not have a very difficult time at all establishing a high yield portfolio with a 14%-plus yield.

For an endowment or a pension fund, I would imagine that such a rate of return would be nearly irresistible. Of course, endowments and pension funds don't pay taxes. Let's suppose that, in any given year for the next five years, a portfolio with a 14.5% yield had a default rate of 5%, which would be very high. Let's further say that the recession lasts four years and that, over time, there would be a 20% cumulative default rate. Let's assume that the recovery value of the typical bond is 50% below its trading price. In the first year, there would be a 5% default rate, those bonds would fall in price to their recovery value, and the portfolio would lose 50% on 5% of the portfolio, or 250 basis points. Subtract that from 14.5%, and the yield would be 12%.

Of course, the default rate could be higher, but the nominal return, as it exists, provides a self-functioning hedge against default. Perhaps a careful investor could avoid defaults of that level, or would be likely to buy high yield bonds that trade nearer their recovery value. If the recovery value were 25% below the trading price, using the same arithmetic, one could afford a much higher default rate.

For a taxable investor, using the same math, a 14.5% yield minus 250 points for default gives one a 12% yield. Then if one subtracts 50% in taxes from that 12%, one is left with 6%. There is no inflation rate at the moment, in fact it's negative, so one would have a 6% real rate of return after taxes, which is virtually unheard of.

What has changed in the last four or five months is that the fixed income investor demands an enormously high real rate of return. It's not important for the purpose of this discussion to understand why that is; it's merely true. For example, there is a subset of fixed income known as BAA bonds, which are investment grade. On December 31, 2005, the Federal Reserve calculated the BAA bond yield to be 6.32%. On December 31, 2006, the Fed calculated the BAA bond yield to be 6.22%. That change is certainly unremarkable. On December 31, 2007, the BAA bond yield was 6.65%, which was an increase, but nothing extraordinary. On December 31, 2008, the BAA bond yield was 8.43%. In fact, it was as high as 9.21% at the end of November 2008.

Those numbers may not seem extraordinary in the light of history, but if one considers them in relation to the change in the consumer price index for the last several months, they look truly extraordinary. For example, let's look at the change in the CPI-U[1] from the preceding month. It is not an annualized number; it is merely the inflation or deflation in that given month.

Table 1: Changes in CPI-U

2008	Change from Preceding Month
August	(0.1)
September	0.0
October	(1.0)
November	(1.7)
December	(0.7)

If we use those numbers in the calculation to derive the real rate of return, then it is astronomical, by any historical standards. With such an enormous real rate of return, one could see why many and varied investment projects requiring financing would be postponed, or perhaps discontinued. It's hardly likely that many investments would earn a rate of return sufficiently high to pay a real rate of return of that amount.

Let's look at it from the point of view of United States Treasury Bonds. Though I'm certainly not recommending purchase of a 30-year Treasury security, oddly enough, assuming that the rate of inflation remains similar to the current ones, there's an interesting arithmetical anomaly with Treasuries. Under the tax law, the government can only tax the coupon; therefore, if you were in the 35% tax bracket and you bought a Treasury with a 3% coupon, you would pay, crudely speaking, 1% in taxes, and would keep 2% for yourself. Deflation is a tax-free rate of return in the form of increased purchasing power, which is every bit as real as a higher coupon after tax would be, but it's not taxable. Viewed in that way, the real after-tax return on Treasuries would be enormous, unless these circumstances change radically.

It could be argued that situations like this one are self-equilibrating. When the real rate of return is that high, it will attract capital, and a greater supply of capital will gradually lower the real rate of return. The problem is that as long as the rate of return remains high, it causes enormous damage to the economy, which may take years to rectify. All of the mechanisms for manipulating the economy, whether they come from the political right or the political left, are oriented towards rendering assistance to either business, the consumer or the borrower.

In light of what was just said, if you believe in the monetary theory, then the heroic steps taken by the Federal Reserve to lower interest rates haven't been effective. That's not to criticize the Federal Reserve, but the real rate of return is what it is. We are, however, interested in the approach which, in principle, is to lower the nominal cost to the borrower

[1] CPI-U: Consumer Price Index for All Urban Consumers

and, thereby, render assistance to the economy by helping the borrower of funds. A more left wing approach might be to employ a vast fiscal stimulus. This method would entail spending a great deal of money intended to encourage corporations to hire workers. The goal of such a program would be to place more money into the pocket of the consumer and, presumably, stimulate the economy.

One could take another approach, which would be to lower taxes. Since the end of World War II, the corporation tax rate has been gradually diminishing. In 1949, the highest corporate tax bracket was on taxable income between $25,000 and $50,000, which was taxed at a 53% rate. Under our most recent tax law, the highest tax rate of 39% is applied to taxable income between $100,000 and $335,000. That rate decline probably had a lot of bearing on the post World War II Ibbotson numbers, which present the case that stocks generally outperform bonds. Stocks did outperform bonds, but corporate taxes were diminishing during the same time period.

Table 2: U.S. Corporation Income Tax Brackets and Rates

Year	Taxable income brackets	Rates
1946-1949	Taxable income $50,000 or less:	
	First $5,000	21%
	Next $15,000	23%
	Next $5,000	25%
	Next $25,000	53%
	Taxable income over $50,000	38%
1993-2008	First $50,000	15%
	$50,000-$75,000	25%
	$75,000-$100,000	34%
	$100,000-$335,000	39%
	$335,000-$10,000,000	34%
	$10,000,000-$15,000,000	35%
	$15,000,000-$18,333,333	38%
	Over $18,333,333	35%

Source: www.irs.gov

The current environment might be one in which the government, for the first time in perhaps a century, will be obliged to placate the lender, not the borrower. The first tentative step in that direction may be in a proposal that is now before Congress, which I believe is likely to pass. This bill is being put forward by Senator Max Baucus of Montana, and its purpose is to remove the Alternative Minimum Tax (AMT) provision for so-called AMT bonds. Currently, there is a class of tax-exempt bonds that become taxable if the owner falls into the AMT category. In an effort to lower the cost of capital to the borrower, which is the ultimate objective, the change will actually do something for the lender in the form of a tax advantage. If you're a wealthy person subject to the AMT, it's highly likely those AMT bonds will, in a month or two, be non-taxable. It's the first instance I've encountered of such.

The U.S. Government debt outstanding at the end of its fiscal year 2000 was $5.674 trillion.[2] At the end of its fiscal year 2008, the U.S. Treasury's debt stood at over $10 trillion. It is now, or soon will be, $11 trillion. By the end of the year, it might well be $13 trillion. By the end of 24 months, it might well be $15 trillion. If you believe in the law of supply and demand, at the moment, the possessor of loanable funds has the upper hand, because all of the remedies involve borrowing more money as a common denominator. The supply of loanable funds, though great, is relatively fixed.

These remarks are not to serve as a proposal for what the government should do, but are merely to make an investment recommendation, which is that the real rate of return on a risk-based asset like a high yield bond is as high as I could possibly imagine it could be. It's an enormously attractive period of time. It is true that the default rate will rise, as it has risen thus far, it's just more or less hedged in the rate of return you get.

Here are a few more statistics that may be interesting for people who have politically rigid views regarding economic policy, either on the right or the left. If you believe in fiscal stimulus, the following statistics might be of interest. In 1929, the U.S. national debt stood at $16.9 billion, and by the end of the Hoover administration, it was close to $22 billion.

One of the complexities of knowing this data with exactitude is that in the "good old days," which weren't actually so good, Presidents were inaugurated and took office in the month of March. In the time of the Hoover and Franklin Roosevelt administrations, the government's fiscal year ended on June 30. The United States debt stood at $19.487 billion on June 30, 1932 while Hoover was still President. On June 30, 1933, after Franklin Roosevelt had been President for 3.5 months, the national debt was $22.5 billion. It's unlikely that any measures enacted by the Roosevelt administration would've had such an effect on the national debt in the course of three months. Most of that increase would have occurred during the Hoover administration.

From June of 1933 to June of 1937 (as can be seen in Table 3), the national debt increased by about $14 billion to a level of almost $33.8 billion in June of 1936. After that, the growth rate of the national debt diminished greatly. At the end of fiscal 1937, it was $36.4 billion, and at the end of fiscal 1938, it was $37.1 billion. The government gradually reduced the stimulus.

[2] The U.S. Government's fiscal year has begun on October 1 since 1977.

Table 3: Historical Debt Outstanding – Annual

Date	Dollar Amount	Date	Dollar Amount
6/29/1940	42,967,531,037.68	9/30/2008	10,024,724,896,912.40
6/30/1939	40,439,532,411.11	9/30/2007	9,007,653,372,262.48
6/30/1938	37,164,740,315.45	9/30/2006	8,506,973,899,215.23
6/30/1937	36,424,613,732.29	9/30/2005	7,932,709,661,723.50
6/30/1936	33,778,543,493.73	9/30/2004	7,379,052,696,330.32
6/29/1935	28,700,892,624.53	9/30/2003	6,783,231,062,743.62
6/30/1934	27,053,141,414.48	9/30/2002	6,228,235,965,597.16
6/30/1933	22,538,672,560.15	9/30/2001	5,807,463,412,200.06
6/30/1932	19,487,002,444.13	9/30/2000	5,674,178,209,886.86
6/30/1931	16,801,281,491.71		
6/30/1930	16,185,309,831.43		
6/29/1929	16,931,088,484.10		

Source: www.treasurydirect.gov

In addition to increasing its outstanding debt, the U.S. Government increased the income tax rates. In 1929, the top rate on regular income tax was 24%. By 1933, it's hard to believe, but it's true, the top rate on regular income tax had been raised to 63%. People who like to make historical analogies might be interested in that data (Table 4). In 1932, the Hoover administration had raised it from 25% to 63% in an effort to balance the budget. The Roosevelt administration kept it at that level until 1936, when they raised it to 79%.

Table 4: Top US Marginal Income Tax Rates

Tax Year	Top Marginal Tax Rate (%)	Taxable Income Over
1929	24	100,000
1930	25	100,000
1931	25	100,000
1932	63	1,000,000
1933	63	1,000,000
1934	63	1,000,000
1935	63	1,000,000
1936	79	5,000,000

Source: www.truthandpolitics.org

Short Interest That You Don't See Every Day

In reviewing the short interest that comes out periodically, I noticed the following very unusual circumstance. Based on the December 31, 2008 short interest, four positions held by Berkshire Hathaway appear on the favorite shorts list. The list includes General Electric, 154.9 million shares of short interest; Wells Fargo, 144.4 million shares; U.S. Bancorp, 67.9 million shares; and Kraft at 32.4 million shares.

In the case of General Electric, one could make an argument for a short exposure, because GE Capital, being an unregulated finance company, has never been traded for accounting and loan loss reserve purposes the way banks have. It's so large that it's hard to imagine that its financial condition is radically different from the financial condition of the others. I'm not the one to judge whether or not that's true, but one could convincingly make that argument.

Regarding Wells Fargo, the point could be made, somewhat less convincingly, that its acquisition of Wachovia raised its capital requirements far in excess of what was expected. Therefore, it might be reasonable to expect some dilution in Wells Fargo. I don't share that view but, clearly, there are people who do.

In the case of U.S. Bancorp, an argument similar to that made for Wells Fargo could be made, but with less force and thrust, because U.S. Bancorp never had the kinds of exposure that Wells Fargo had.

For Kraft, it's hard to imagine what the short sale investment case would be. It may well be that certain consumer products, such as Velveeta Cheese might be purchased less in a terrible recession, but that would not be as damaging to the fabric of Kraft as the recession might be to other companies.

This situation is not seen every day, but if it were merely the Warren Buffett positions, it might well have gone unremarked. However, it was also observed that one of the largest investments of Leucadia National, which is Jefferies, also has a very large short position outstanding, specifically 18.27 million shares on December 31. Mason Hawkins, another renowned value investor, has a very large position in Level 3 Communications, which has a 190.8 million share short position outstanding as of December 31. That short interest represents a very significant portion of the shares outstanding for Level 3, and it's even a greater proportion of the float.

I don't know what conclusions can be reasonably drawn by such an observation, but it's rarely seen, and it illustrates a phenomenon that we've seen only in the last year. Some very famous value-oriented investors have taken opposite sides on companies. One famous example that was remarked upon months ago by this publication was the example

of the monoline insurers, specifically Ambac and MBIA[3]. Martin Whitman had a large long position in each and, as far as I know, continues to have a long position in them. On the opposite side, we had Bill Ackman, another very astute value investor, who publicly disclosed large short positions in those companies.
Oddly enough, they can both be right, because an investment in anything can decline to a certain level at which a short seller might no longer be interested, and the short would be covered. Subsequent to that time, the long-only investor who held the position for a very long time period might be proven right, though it may take years.

A situation in which both sides can both be right is rare. When a very famous investor takes a position in a company, there are usually emulators, not opponents. These situations only exist when the risk premium in equities rises to such a great extent that respected investors can take diametrically opposed positions on companies.

Correlation within the Oil Industry

Painful though it is, the fact that everything declined so much is interesting. Normally, there shouldn't be so much correlation between industries, and there shouldn't be so much correlation within industries. The market didn't distinguish as much as one would expect between companies within industries that have substantially different characteristics. The energy industry, for example, can be divided into two subsets. The Canadian oil companies that primarily, but not exclusively, develop tar sands would be one category, and the other would be the U.S. exploration and development companies.

The Canadian companies have very long-life reserves. The trouble is that, at low oil prices, they're very difficult to exploit, because there are certain fixed costs in converting tar sands, or bitumen, into energy. Those costs include the hydrocarbon needed as a feedstock to operate the conversion plant, and the fixed sunk cost of having conversion facilities. Though it differs for each Canadian oil company, if the price of oil decreases below a certain point, the profitability of a typical Canadian tar sands company diminishes markedly.

A fixed cost aspect for the U.S. exploration and development companies is the expenditure of developing a certain facility. Much of the reserves that are currently being exploited were developed at much lower oil prices; therefore, the sunk costs for those facilities are much smaller. From the point of view of maintaining profitability, the U.S. companies could, technically speaking, tolerate a lower oil price than the Canadian companies. It's not surprising that the U.S. oil companies, including Apache (APA), Anadarko (APC), XTO Energy (XTO) and Pioneer (PXD), outperformed the Canadian companies during the decline, though they all declined.

If the price of oil were to rise, as it might, that process could run in reverse. Ultimately, the American companies will have to replace their reserves and the Canadian companies have in situ reserves, as well as fixed, established conversion facilities. As the price of the hydrocarbon rises, their profitability will go up. They won't have to invest as much of their cash flow into maintaining production the way the American companies would. A case could be made that the Canadian companies, including Suncor (SU), Imperial Oil (IMO), Nexen (NXY), Canadian Natural Resources (CNQ), Canadian Oil Sands Trust (COSWF) and EnCana (ECA), will outperform the American companies from this point forward.

The energy industry could be bifurcated in a completely different way. There are the American companies (including Apache (APA), Anadarko (APC), XTO Energy (XTO), Pioneer (PXD)) that, as a generalization, replace and expand their reserves. The American majors, including ConocoPhillips (COP), Chevron-Texaco (CVX), Exxon (XOM), and even some foreign ones like Total (TOT) and British Petroleum (BP), have great difficulty in replacing or expanding their reserves. Their reserves are actually diminishing. There could be an investment rationale to dividing oil companies into two categories. One category would include those companies that replace and grow their reserves, because they're able to so. Another category would include those companies that appear unable to replace and grow their reserves. There may well emerge a significant performance differential among those groups. I know of no Exchange Traded Fund (ETF) currently in existence that differentiates oil companies by reserve growth.